

Deadlock & Exit (Equity JV scenario)

If it's a 50/50 company, the mechanisms that stop a disagreement becoming a crisis.

Pack 14 — Partnership & Legal

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Document	Deadlock & Exit (Equity JV scenario)
Purpose	Pre-empt the classic failure mode of equal-ownership ventures.
Status	Build-now · Applies IF equity JV (Pack 22 Q1) · not legal advice
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BOTTOM LINE UP FRONT

A 50/50 company is a "deadlock" structure by design — neither party can outvote the other, so a disagreement can paralyse the business unless a resolution mechanism is agreed **in advance**. If the deal is an equity JV, these provisions are non-negotiable. (If it's an agency arrangement, this document does not apply.)

The deadlock problem

With equal ownership, every material decision needs genuine agreement. Without a pre-agreed tie-breaker, a single sustained disagreement can freeze the company — the single most common way 50/50 ventures fail.

Standard mechanisms

Mechanism	What it does
Reserved matters	Defines exactly which decisions need both parties' sign-off (vs. day-to-day autonomy)
Escalation	Named senior individuals attempt resolution before anything drastic
Mediation / expert determination	Neutral third party resolves specific disputes
Buy-sell ("shotgun") clause	Last resort: one party offers to buy/sell at a set price, forcing a clean resolution

Exit provisions

PLAN THE ENDING AT THE BEGINNING

Agree upfront: how either party sells their stake, what happens to customers and IP on exit, valuation method, and any drag/tag rights. Ventures that document the exit while relations are good avoid the worst disputes when they aren't.

Boundary

These are standard structures, not drafted terms. A UK corporate solicitor experienced in cross-border JVs must draft the actual provisions (see Solicitor_Brief). Do not proceed with an equity JV that lacks a deadlock mechanism.

Implication

If the CEO confirms an equity JV (Pack 22 Q1), these provisions move from "good practice" to "must-have before signing." Budget for proper legal drafting accordingly (Pack 16).

Sources & confidence

Claim	Source	Confidence
Deadlock mechanisms	standard UK JV precedent (LexisNexis/Practical Law)	 Reasoned (not legal advice)